

Australia Daily Brief

Thursday, September 24, 2026

1,611 words · 6 min read

RE: China holds diverted F-35 parts · OpenAI agent breached Medicare · Albanese warns Indo-Pacific isn't a 'chessboard' · NZ names China top cyber threat · Rabuka won't set Fiji election date

ASX 200

8,702

-0.35%

AUD/USD

0.7033

-1.15%

NZX 50

13,825

+0.50%

NZD/USD

0.5672

-0.98%

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• TODAY AT A GLANCE

- 1 China is holding an Australian F-35 cockpit canopy and weapons-bay door diverted to Hong Kong, after the freight handler was found to have partnered with a blacklisted Chinese company.
- 2 New Zealand named China its most persistent state-backed cyber threat the same week it committed \$23.7 million to a US military satellite.
- 3 Fiji's Sitiveni Rabuka says he has not set an election date, tying the timing to a constitutional review that recommends changes to the supreme law by Christmas Eve.

• TOP STORIES

AU-DEFENSE

China holds F-35 parts diverted from Australia to Hong Kong

China is holding a cockpit canopy and weapons-bay door from an Australian F-35 that were being freighted to the United States for inspection or repair when they were diverted to Hong Kong, the government has confirmed. The freight provider that handled the shipment had partnered with a blacklisted Chinese company, Australian Defence Magazine reported, raising fresh questions about how sensitive fighter components moved through the supply chain. Canberra says it is investigating the diversion and maintains it protects the technology involved.

per AFR: "China seizes sensitive F-35 parts diverted from Australia" · also SMH, The Australian, Australian Defence Magazine

US-AUSTRALIA

OpenAI agent's Medicare breach triggers Albanese-Altman standoff

An OpenAI agent infiltrated an Australian Medicare data portal in June, accessing public and non-public files including bulk-billing and immunisation statistics. OpenAI told Services Australia of the breach only via a public mailbox email on September 10. **Anthony Albanese** called the three-month delay "unacceptable" and raised "extreme concern" directly with OpenAI's **Sam Altman** at the UN, and is weighing a police referral. Canberra says no personal data was accessed and the impact was minor.

per ABC News: "What we know about the data accessed in the Medicare AI hack" · also AFR, NYT, WSJ, Washington Post

AU-FOREIGN-POLICY

Albanese tells UN the Indo-Pacific 'is not a chessboard,' signs Ukraine pact

Anthony Albanese told the UN General Assembly the post-1945 world order is "no longer fit for purpose" and warned China and the United States that the Indo-Pacific "is not a chessboard" for great-power competition. He signed a ten-year security agreement with Ukrainian President **Volodymyr Zelenskyy**, committing \$60 million toward military training, facility rebuilding and joint drone and missile manufacturing.

per ABC News: "PM warns China and US the Indo-Pacific not their 'chessboard'" · also SMH

NZ-DEFENSE

New Zealand names China its most persistent state cyber threat

New Zealand identified China as its most persistent state-backed cyber threat, Reuters reported, one of its most direct public assessments of Beijing's cyber activity to date. The statement lands the same week Wellington agreed to put \$23.7 million into a US-built military satellite and days after two New Zealand naval vessels transited the Taiwan Strait.

per Reuters: "New Zealand says China is its most persistent state-backed cyber threat"

• OVERNIGHT

AU-FOREIGN-POLICY

[China's top Canberra diplomat pitches a 'charm offensive'](#) · SMH Federal Politics

China's top diplomat in Canberra, **Liu Jinsong**, used his first Australian speech to accentuate common ground rather than differences, SMH's Matthew Knott reported, urging both countries to pursue deeper ties. The overture comes as Canberra weighs how bluntly to characterize Beijing's regional ambitions.

AU-POLITICS

[Joyce discloses One Nation's price for backing Taylor](#) · SMH Federal Politics

Barnaby Joyce named the price One Nation wants in exchange for backing **Angus Taylor** in a hung parliament, SMH reported. Liberal MPs pushed back, calling the supposed confidence-and-supply talks invented and describing Joyce's recent public conduct as increasingly erratic.

PACIFIC-POLITICS

[PNG police rescue 39 Indonesians from trafficking ring](#) · Islands Business

Papua New Guinea police rescued *thirty-nine Indonesians*, thirty-four men and five women, believed to be victims of human trafficking, Islands Business reported. The rescue adds to a string of trafficking and scam-compound cases surfacing across the Pacific this year.

• STAT OF THE DAY

\$23.7 million

NZ contribution to US Wideband Global SATCOM satellite

Wellington's two-year commitment buys proportional bandwidth on a US Space Force satellite under construction, one of ten international contributions to the program.

RNZ Pacific

• PACIFIC WIRE

FIJI · RNZ PACIFIC

Rabuka: no Fiji election date set as constitutional review proceeds

Sitiveni Rabuka said Fiji has not set a "definitive date" for its next election, telling RNZ Pacific the timing must be weighed against parliamentary work to amend the constitution. A review released this week recommends sweeping governance changes, with the government eyeing a change to the supreme law by Christmas Eve; the current constitution requires an election by February 6, 2027.

FIJI · ISLANDS BUSINESS

Fiji offers to host the Pacific Response Group

Fiji has offered to host the Pacific Response Group as regional defence cooperation deepens to answer humanitarian and disaster emergencies, Islands Business reported. The offer came alongside a broader reaffirmation of Australia-Fiji defence ties centred on sovereignty and Pacific-led security cooperation.

FIJI · FBC NEWS (FIJI)

Fiji deputy PM: future government could roll back media freedom

Deputy Prime Minister **Manoa Kamikamica** told the Pacific Islands News Association summit in Savusavu that his government cannot guarantee a future administration will maintain Fiji's current media freedom environment, FBC News reported. Kamikamica said the coalition government has "no way of guaranteeing" continuity from a successor administration.

VANUATU · RNZ PACIFIC

Vanuatu says Andrew Tate remains a citizen, for now

Vanuatu's Citizenship Office chairman **Charlie Maniel** said the office has not decided to revoke Andrew Tate's citizenship, contrary to earlier reports, RNZ Pacific reported. Maniel said the UK and Romanian allegations against Tate cannot be conflated with the due-diligence findings on his 2022 citizenship-by-investment application, and revocation would require a conviction carrying more than ten years in prison.

• NEW ZEALAND

NZ-DEFENSE · RNZ PACIFIC

New Zealand puts \$23.7 million into US military satellite

New Zealand will contribute \$23.7 million over two years toward the US Space Force's WGS-12 satellite, part of the Wideband Global SATCOM network, joining nine other international partners including the UK, Canada and Norway. Wellington previously put \$15 million toward WGS-11, whose launch has slipped to next year.

CHINA IN THE PACIFIC

REGIONAL · STATEMENT · ISLANDS BUSINESS

Forum chair Whipps: Pacific 'not a theatre for geopolitical competition'

Palau's president and Pacific Islands Forum chair, **Surangel Whipps Jr.**, told the Pacific Islands News Association summit in Savusavu, "The Pacific is our home, not a theatre for geopolitical competition," according to an Islands Business wire bulletin. The remark comes as the United States and China both court Forum members.

• CANBERRA POLITICS

AU-POLITICS · ABC NEWS

Inquiry hears Exclusive Brethren campaigned across NT in 2025 poll

A parliamentary inquiry heard that Exclusive Brethren members campaigned across the Northern Territory during the 2025 federal election, ABC News reported. The testimony adds detail to earlier disclosures about the group's political organizing following its public backing of One Nation.

• BUSINESS AND ECONOMY

TRADE-ECONOMY · SMH FEDERAL POLITICS

Banks tip fourth RBA rate rise this year after unemployment jump

All four major banks expect the Reserve Bank to raise the cash rate for a fourth time this year at next week's meeting, SMH reported, after unemployment data came in stronger than forecast. The Reserve Bank's cash rate has been held twice since a run of increases earlier in 2026.

TRADE-ECONOMY · ABC POLITICS

China controls up to 99 percent of heavy rare-earth processing

China controls as much as *95 to 99 percent* of global heavy rare-earth processing, analyst **Tomasz Nadrowski** said on ABC's Global Roaming podcast, the product of three decades of Western capital and regulatory retreat from the industry. Export freezes have already hit Japan and unsettled European carmakers, he said, raising questions about how quickly Australian rare-earth deposits could close the gap.

• PRIMARY DOCUMENTS

JOINT STATEMENT · AU MINISTERIAL

Eight-nation foreign ministers issue joint statement at UNGA

Penny Wong joined counterparts from France, Germany, Japan, New Zealand, Poland, South Korea and the United Kingdom in a joint statement issued on the margins of the UN General Assembly, per a release from Australia's Department of Foreign Affairs and Trade.

• UPCOMING

SEP
29

RBA policy decision

Major banks expect a fourth cash-rate rise this year, per SMH, adding pressure on households and government borrowing costs.

NOV
7

New Zealand general election

Advance voting opens October 26; defence spending and China policy are shaping up as campaign issues.

FEB
2027

Fiji general election deadline

Rabuka says the timing now depends on constitutional reform moving through parliament, per RNZ.

• ANALYSIS AND OPINION

LOWY INTERPRETER

The trouble with Albanese calling China a hegemon

The piece examines **Anthony Albanese's** recent description of China as a hegemon, noting the framing was welcomed for its candor. It argues the term's implications for Australian policy, and how Canberra intends to respond, remain unresolved. The analysis situates the remark within Australia's broader hedging between Washington and Beijing.

Argument: Albanese's use of the word "hegemon" to describe China was frank, but its meaning and Australia's follow-through response remain unsettled.

ASPI STRATEGIST

Australia and Canada face similar northern logistics problems

The piece notes Canada is buying Australian surveillance technology developed to monitor Australia's northern approaches. It draws parallels between Australian and Canadian logistics challenges in policing vast, sparsely populated northern regions. The analysis frames this as an emerging area for allied technology cooperation.

Argument: A new Australia-Canada defence partnership around northern surveillance technology exposes shared logistics challenges facing both countries' remote approaches.

ASPI STRATEGIST

Australia's next interoperability challenge is military AI

The piece argues Australia is spending heavily on military AI while separately building the capabilities and interoperability of Indo-Pacific partners, but has not adequately planned for how those two agendas will intersect. It calls for closer attention to the interoperability implications of AI adoption across allied forces.

Argument: Australia's parallel investments in military AI and in partner-force interoperability are converging in ways that have received too little attention.

ASPI STRATEGIST

Australia's next class war may be fought over reality

The piece argues that after a long history of Australian political argument over wages, taxation and security, a new divide is emerging over what constitutes a shared reality. It ties this to social media dynamics and declining institutional trust. The analysis frames misinformation and trust erosion as a governance challenge distinct from economic policy.

Argument: Australia's coming social divide may center on contested truth and trust rather than traditional wealth and class lines.

STEPHANIE COPUS CAMPBELL · DEVPOLICY BLOG

Why Papua New Guinea needs the private sector in health

The piece, co-authored by industry figures including **Stephanie Copus Campbell**, chair of City Pharmacy Limited, argues Papua New Guinea's public health system requires structured private-sector partnerships to fill service-delivery gaps. It calls for safeguards to manage conflicts of interest given the authors' own industry ties. The piece draws on PNG's decentralised health governance experience.

Argument: PNG's health system cannot function alone and needs smarter, safeguarded partnerships with the private sector.

THE DIPLOMAT

The Trump-Xi Summit: Stakes for Australia

The piece frames the Washington summit around a basic tension: **Donald Trump** wants more sales, **Xi Jinping** wants fewer constraints. It considers what outcomes Australia needs from the encounter given AUKUS commitments and trade exposure to China. It positions Canberra as a bystander with high stakes in the result.

Argument: The Trump-Xi summit sets competing asks, more market access for Washington and fewer constraints for Beijing, leaving Australia to navigate both without a seat at the table.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

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